

Copilot Licensing & Deployment

Field cheat sheet: who gets what, what it costs, and how to roll out without overwhelming the team.

THE MODEL

TIER 1 · FRONT DOOR

Copilot Chat

Free, included

Web-grounded, enterprise data protection. Safe to give broadly.

TIER 2 · PAID SEAT

Microsoft 365 Copilot

~\$30/user/mo*

Grounds on your data, in-app editing, zero-rates most agent use.

USAGE LAYER

Cowork & agents

Usage-billed

On a paid seat, off until an admin turns it on.

No “Copilot Premium” SKU to buy — it is just an in-app label for the paid seat.

WHO GETS WHAT, BY ROLE

ROLE	RECOMMENDED TIER	PAYS EXTRA FOR
Director / Exec	Paid seat	Cowork
Manager	Paid seat	Cowork
Analyst	Paid seat	Cowork, Studio
Knowledge worker	Start free → paid	Paid seat when engaged
Engineer / Dev	GitHub Copilot + seat	Studio, Azure
Frontline (F-plan)	Free Chat if eligible	Add-on on F1/F3
Security / Compliance	Security Copilot	Per product terms

GOVERN FIRST (STEP ZERO)

PEOPLE

AI governance committee, an executive sponsor, champions, and culture set from the top.

PLATFORM

SharePoint Advanced Mgmt (included) + RCD, Purview, and the Agent Registry / Agent 365.

DO THIS NEXT

- 1

Stand up the AI governance committee and name the sponsor.
- 2

Turn on free Chat (handle web search for PHI-heavy groups first).
- 3

Buy a focused block of paid seats (dozens, not thousands).
- 4

Fix oversharing, then stand up the Agent Registry.
- 5

Let a governed few build agents; let everyone use approved ones.

The one budget fact Paid seats make most employee-facing agent use free. Free-Chat users pay per interaction (~\$0.01 per credit). That single split drives the whole budget.

COMPLIANCE GUARDRAILS

WEEK 1

Match AI model-provider access to your required certifications (HITRUST, SOC 1, FedRAMP High).

WEEKS 1–4

Move oversharing control to Restricted Content Discovery as legacy search retires.

ONGOING

Confirm Anthropic / EU Data Boundary BAA coverage before PHI-adjacent Cowork or Researcher use.

BAA covers Copilot + Chat. Web search is the exception — keep PHI out of web-grounded prompts. Dragon Copilot is the separate product for clinical documentation.